Taiwan | Information Technology | 12 August 2026

Daiwa Capital Markets Hong Kong Limited

LandMark Optoelectronics (3081 TT)

Target price: **TWD900.00** (from TWD586.00)

Share price (12 Aug): **TWD2,725.00** | Up/downside: **-67.0%**

5 4 3 2 1

Sell
(unchanged)

Off to a strong start but … (III)

- 2Q26 results and 3Q26 guidance all beat estimates
- Lift forecasts on continued AI strength and cost passthrough
- Reaffirm Sell (5) on valuation despite a higher TP of TWD900

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What's new: On 12 August, LandMark Opto (LMO) disclosed 2Q26 results and 3Q26 guidance both beating market expectations, thanks to cost passthrough through the supply chain, on top of the continued strong demand for silicon photonics (SiPh) as cloud service providers (CSP) actively build out AI datacentres that spur demand for optical bandwidths scaling out, up and across. With the 2 growth drivers set to continue, we lift our forecasts and TP, but reaffirm our Sell (5) rating on valuation grounds as the stock still trades at over 100x 2027E PER and 37x 2027E PBR, all-time highs in history which don't seem to be justified by fundamentals, in our view.

What's the impact: **Results and guidance all beat but ...** LMO released 2Q26 EPS (after factoring in a 10% stock dividend) of TWD4.6, beating our/consensus estimates by 28%/21% thanks to: 1) higher top line associated with price hikes on a passthrough of increased materials costs such as substrates (see our *memo*), which added to gross margin, and 2) frugal R&D control for opex ratio that finished 2.9pp below our estimate at only 10.6%. Guidance calls for 3Q26 revenue QoQ growth >= that of 2Q25 (22% QoQ), beating our previous/consensus forecasts of up 8%/11% QoQ, thanks to: 1) the continued strong demand for SiPh (ie, CW laser) from hyperscale CSPs and module makers across the US, China and Taiwan, and 2) likely the continued cost passthrough through the supply chain. All in all, we lift our 2026-28E EPS by 21-32%.

… execution and valuation still under test. Despite the upbeat results and guidance, we remain uncertain about LMO's margin execution on increased depreciation associated with hefty capex, increased headcount and variety of SiPh product specs that may affect yields and learning curve pickups in the downstream subcontractors. This execution is under scrutiny as flagged in *our previous note*. On top of that, more importantly, valuations look overstretched still since, after our forecast revisions, the stock still trades at over 100x 2027E PER and 37x 2027E PBR (charts on p.2).

What we recommend: Given our forecast changes, we lift our 12M TP for LMO to TWD900 (previous: TWD586), based on our higher ROE-adjusted PBR of 13x (previous: 10x) 4-quarter forward BVPS due to a higher ROE trajectory. We reaffirm our Sell (5) call on valuation grounds, with upside risk of any better-than-expected SiPh ramp and margin execution.

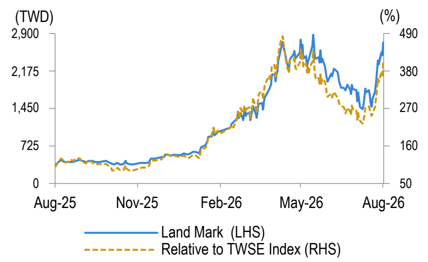
How we differ: Our 2027-28E EPS are 29-49% below the consensus forecasts as we believe the street is too aggressive on the SiPh strength.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	19.2	21.6	14.5
Net profit change	29.8	31.8	20.8
Core EPS (FD) change	29.8	31.8	20.8

Source: Daiwa forecasts

Share price performance



12-month range	353.64-2,872.73
Market cap (USDbn)	8.59
3m avg daily turnover (USDm)	169.57
Shares outstanding (m)	102
Major shareholder	Hwa Sheng Int'l Investment (8.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	5,185	6,948	7,522
Operating profit (m)	2,381	3,224	3,409
Net profit (m)	1,937	2,638	2,803
Core EPS (fully-diluted)	19.032	25.921	27.545
EPS change (%)	352.1	36.2	6.3
Daiwa vs Cons. EPS (%)	8.1	(29.2)	(48.8)
PER (x)	143.2	105.1	98.9
Dividend yield (%)	0.1	0.4	0.6
DPS	3.0	10.1	15.2
PBR (x)	n.a.	n.a.	n.a.
EV/EBITDA (x)	101.1	74.8	69.8
ROE (%)	38.6	39.7	34.7

Source: FactSet, Daiwa forecasts

LMO: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	904	1,221	1,500	1,559	1,512	1,739	1,854	1,843	2,203	5,185	6,948	7,522
COGS	-409	-520	-615	-627	-624	-709	-764	-758	-1,262	-2,171	-2,855	-3,171
Gross profit	495	702	885	932	887	1,030	1,091	1,085	941	3,014	4,093	4,351
Opex	-122	-129	-188	-195	-189	-217	-232	-230	-432	-633	-868	-942
Operating profit	373	573	698	737	698	812	859	854	508	2,381	3,224	3,409
EBITDA	444	648	793	845	805	918	974	969	818	2,730	3,666	3,918
Pretax profit	397	586	700	739	705	830	882	880	525	2,421	3,298	3,504
Income taxes	79	117	140	148	141	166	176	176	-97	-484	-660	-701
Net profit	318	468	560	591	564	664	705	704	428	1,937	2,638	2,803
EPS (TWD, basic)	3.12	4.60	5.50	5.81	5.55	6.53	6.93	6.92	4.24	19.03	25.92	27.55
EPS (TWD, fully diluted)	**3.12**	**4.60**	**5.50**	**5.81**	**5.55**	**6.53**	**6.93**	**6.92**	**4.21**	**19.03**	**25.92**	**27.55**
Margin												
Gross	55%	57%	59%	60%	59%	59%	59%	59%	43%	58%	59%	58%
Operating	41%	47%	47%	47%	46%	47%	46%	46%	23%	46%	46%	45%
EBITDA	49%	53%	53%	54%	53%	53%	53%	53%	37%	53%	53%	52%
Net	35%	38%	37%	38%	37%	38%	38%	38%	19%	37%	38%	37%
Growth (QoQ)												
Revenue	41%	35%	23%	4%	-3%	15%	7%	-1%				
Gross profit	58%	42%	26%	5%	-5%	16%	6%	-1%				
Operating profit	77%	53%	22%	6%	-5%	16%	6%	-1%				
Net profit	67%	48%	20%	6%	-5%	18%	6%	0%				
EPS (basic)	66%	48%	20%	6%	-5%	18%	6%	0%				
EPS (FD)	67%	48%	20%	6%	-5%	18%	6%	0%				
Growth (YoY)												
Revenue	99%	121%	171%	143%	67%	42%	24%	18%	82%	135%	34%	8%
Gross profit	237%	193%	267%	198%	79%	47%	23%	16%	294%	220%	36%	6%
Operating profit	734%	284%	573%	250%	87%	42%	23%	16%	nm	369%	35%	6%
Net profit	651%	384%	465%	211%	78%	42%	26%	19%	nm	352%	36%	6%
EPS (basic)	645%	380%	462%	209%	78%	42%	26%	19%	nm	349%	36%	6%
EPS (FD)	651%	384%	465%	211%	78%	42%	26%	19%	nm	352%	36%	6%

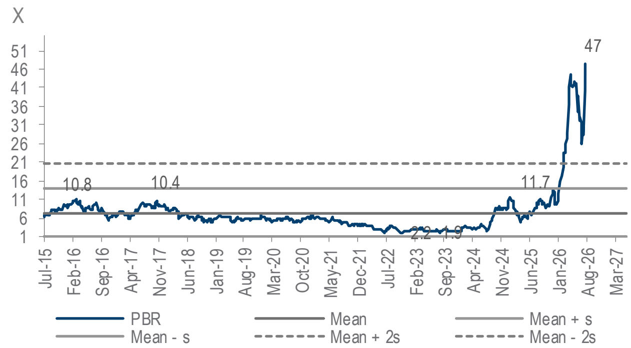
Source: Company, Daiwa estimates and forecasts

LMO: 2Q26 results review and 3Q26 guidance check

	2Q26			Growth		3Q26E	
TWDm	Actual	Daiwa	Variance	QoQ	YoY	Guidance	Daiwa (previous)
Revenue	1,221	1,086	12%	35%	121%	Revenue QoQ growth to be >= that of 2Q25	up 8% QoQ
Gross profit	702	599	17%	42%	193%	na	GM = c.56%
Operating profit	573	452	27%	54%	284%		
Pretax profit	586	457	28%	48%	384%		
Net profit	468	366	28%	47%	384%		
Adjusted EPS (TWD)	4.60	3.59	28%	47%	384%		
Margin							
Gross	57.5%	55.1%	2.4%				
Operating	46.9%	41.6%	5.3%				
Net	38.3%	33.7%	4.7%				
Revenue mix*							
Telecom	5-10%	10%					
Datacom	80-85%	87%					
Others	c.5%	3%					

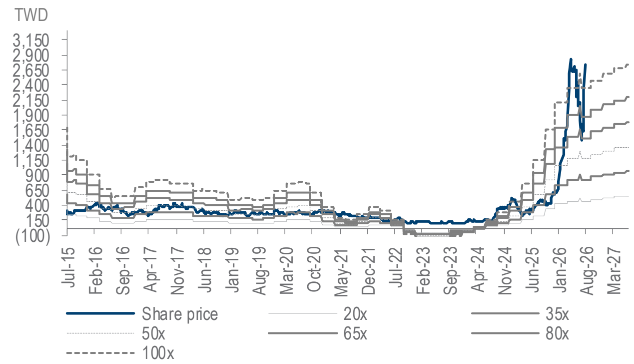
Source: Company, Daiwa estimates and forecasts
Note: Telecom includes PON and cellular interconnectivity, Datacom includes SiPh and datacentre connectivity, Others include consumer, automotive LiDAR, industrial and other applications

LMO: PBR trend



Source: Company, TEJ, Daiwa forecasts

LMO: 4-quarter forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wafer shipment ('000)	49	65	27	31	53	99	130	154
Capacity utilization (%)	53	64	26	30	51	92	97	99
Blended ASP (USD)	1,366	1,234	1,242	1,205	1,345	1,641	1,674	1,529

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
PON	564	521	285	374	273	326	417	451
SiPhotonics	289	317	380	522	1,505	4,435	5,975	6,469
Other Revenue	1,019	1,542	392	313	425	424	556	602
Total Revenue	**1,873**	**2,381**	**1,056**	**1,208**	**2,203**	**5,185**	**6,948**	**7,522**
Other income	0	0	0	0	0	0	0	0
COGS	(1,104)	(1,622)	(918)	(970)	(1,262)	(2,171)	(2,855)	(3,171)
SG&A	(153)	(155)	(125)	(130)	(160)	(335)	(452)	(491)
Other op.expenses	(203)	(270)	(292)	(220)	(272)	(299)	(417)	(451)
Operating profit	**412**	**334**	**(279)**	**(112)**	**508**	**2,381**	**3,224**	**3,409**
Net-interest inc./(exp.)	3	6	16	21	26	21	74	96
Assoc/forex/extraord./others	3	39	(1)	23	(9)	20	0	0
Pre-tax profit	**418**	**378**	**(264)**	**(68)**	**525**	**2,421**	**3,298**	**3,504**
Tax	(80)	(49)	53	14	(97)	(484)	(660)	(701)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**338**	**330**	**(212)**	**(55)**	**428**	**1,937**	**2,638**	**2,803**
Net profit (adjusted)	**338**	**330**	**(212)**	**(55)**	**428**	**1,937**	**2,638**	**2,803**
EPS (reported)(TWD)	**3.358**	**3.284**	**(2.103)**	**(0.541)**	**4.236**	**19.032**	**25.921**	**27.545**
EPS (adjusted)(TWD)	**3.358**	**3.284**	**(2.103)**	**(0.541)**	**4.236**	**19.032**	**25.921**	**27.545**
EPS (adjusted fully-diluted)(TWD)	**3.358**	**3.261**	**(2.093)**	**(0.536)**	**4.209**	**19.032**	**25.921**	**27.545**
DPS (TWD)	**5.000**	**3.500**	**3.500**	**0.500**	**0.500**	**3.000**	**10.087**	**15.164**
EBIT	**412**	**334**	**(279)**	**(112)**	**508**	**2,381**	**3,224**	**3,409**
EBITDA	**904**	**811**	**178**	**280**	**818**	**2,730**	**3,666**	**3,918**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	418	378	(264)	(68)	525	2,421	3,298	3,504
Depreciation and amortisation	492	477	457	391	309	350	442	510
Tax paid	(80)	(49)	53	14	(97)	(484)	(660)	(701)
Change in working capital	207	(193)	90	30	(355)	(630)	95	(275)
Other operational CF items	(15)	25	(96)	10	331	0	0	0
Cash flow from operations	**1,022**	**639**	**240**	**377**	**714**	**1,656**	**3,175**	**3,038**
Capex	(206)	(363)	(151)	(70)	(87)	(1,896)	(645)	(473)
Net (acquisitions)/disposals	0	0	0	0	0	0	0	0
Other investing CF items	(127)	(97)	(819)	(312)	(400)	0	0	0
Cash flow from investing	**(333)**	**(460)**	**(970)**	**(382)**	**(487)**	**(1,896)**	**(645)**	**(473)**
Change in debt	0	0	0	0	0	0	(100)	(80)
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(457)	(320)	(322)	(46)	(46)	(305)	(1,027)	(1,543)
Other financing CF items	(8)	14	(8)	(2)	(7)	500	0	(100)
Cash flow from financing	**(465)**	**(306)**	**(330)**	**(48)**	**(53)**	**195**	**(1,127)**	**(1,723)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**225**	**(127)**	**(1,060)**	**(53)**	**174**	**(45)**	**1,404**	**842**
Free cash flow	816	276	89	306	627	(240)	2,530	2,565

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	1,771	1,644	1,299	1,548	1,973	1,928	3,332	4,174
Inventory	289	376	357	346	571	661	711	711
Accounts receivable	297	458	230	199	337	917	767	1,067
Other current assets	24	33	22	31	30	30	30	30
Total current assets	**2,381**	**2,511**	**1,909**	**2,125**	**2,911**	**3,536**	**4,840**	**5,982**
Fixed assets	2,123	2,164	1,969	1,665	1,522	3,054	3,331	3,315
Goodwill & intangibles	6	6	4	3	3	3	3	3
Other non-current assets	471	437	503	497	571	581	601	601
Total assets	**4,981**	**5,117**	**4,384**	**4,290**	**5,008**	**7,174**	**8,775**	**9,901**
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	89	176	56	41	45	85	80	105
Other current liabilities	302	273	163	183	487	440	550	560
Total current liabilities	**391**	**450**	**219**	**225**	**532**	**525**	**630**	**665**
Long-term debt	0	0	0	0	0	500	400	220
Other non-current liabilities	318	311	303	294	286	300	290	300
Total liabilities	**709**	**761**	**522**	**519**	**817**	**1,325**	**1,320**	**1,185**
Share capital	914	919	919	925	925	925	925	925
Reserves/R.E./others	3,359	3,438	2,943	2,846	3,266	4,924	6,530	7,791
Shareholders' equity	**4,272**	**4,357**	**3,862**	**3,772**	**4,191**	**5,849**	**7,455**	**8,716**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**4,981**	**5,117**	**4,384**	**4,290**	**5,008**	**7,174**	**8,775**	**9,901**
EV	275,558	275,685	276,029	275,781	275,356	275,901	274,397	273,375
Net debt/(cash)	**(1,771)**	**(1,644)**	**(1,299)**	**(1,548)**	**(1,973)**	**(1,428)**	**(2,932)**	**(3,954)**
BVPS (TWD)	**42.508**	**43.415**	**38.384**	**37.397**	**41.441**	**57.475**	**73.252**	**85.643**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	(18.9)	27.1	(55.6)	14.4	82.3	135.4	34.0	8.3
EBITDA (YoY)	(22.7)	(10.3)	(78.0)	56.8	192.4	234.0	34.3	6.9
Operating profit (YoY)	(41.8)	(19.0)	n.a.	n.a.	n.a.	368.5	35.4	5.7
Net profit (YoY)	(42.9)	(2.4)	n.a.	n.a.	n.a.	352.1	36.2	6.3
Core EPS (fully-diluted) (YoY)	(42.9)	(2.9)	n.a.	n.a.	n.a.	352.1	36.2	6.3
Gross-profit margin	41.0	31.9	13.1	19.8	42.7	58.1	58.9	57.8
EBITDA margin	48.3	34.1	16.9	23.1	37.1	52.7	52.8	52.1
Operating-profit margin	22.0	14.0	n.a.	n.a.	23.1	45.9	46.4	45.3
Net profit margin	18.0	13.8	n.a.	n.a.	19.4	37.4	38.0	37.3
ROAE	7.8	7.6	n.a.	n.a.	10.8	38.6	39.7	34.7
ROAA	6.6	6.5	n.a.	n.a.	9.2	31.8	33.1	30.0
ROCE	9.6	7.7	n.a.	n.a.	12.8	45.2	45.4	40.6
ROIC	12.5	11.2	n.a.	n.a.	18.7	57.4	57.7	58.7
Net debt to equity	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Effective tax rate	19.2	12.9	0.0	0.0	18.4	20.0	20.0	20.0
Accounts receivable (days)	90.4	57.9	118.9	64.8	44.4	44.1	44.2	44.5
Current ratio (x)	6.1	5.6	8.7	9.5	5.5	6.7	7.7	9.0
Net interest cover (x)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net dividend payout	85.1	104.2	107.3	(23.9)	(93.3)	71.3	53.0	58.5
Free cash flow yield	0.3	0.1	0.0	0.1	0.2	n.a.	0.9	0.9

Source: FactSet, Daiwa forecasts

Company profile

Founded in June 1997, LandMark Optoelectronics Corporation (LMO) is a dedicated compound semiconductor epiwafer supplier for optical communication (OC), with end-applications focusing primarily on telecom and datacom, including passive optical network (PON), datacentre and cellular infrastructure, as well as industrial and consumer electronics. LMO is one of the largest pure OC epiwafer suppliers globally by revenue.

ESG analysis

ESG risks

	Risks	Management	Analyst comments
G	Executive/board quality	2	LMO's Board of Directors consists of seven members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, three are independent, representing 43 percent of the board. This proportion exceeds the regulatory requirement, which mandates a minimum of 20 percent independent directors. Although the chairman and the president are different individuals, several members of the executive management team, including the CSO, CTO, and CFO, also serve as directors. This concentration of managerial and oversight roles may increase the likelihood of agency problems because the same individuals influence both strategic decision making and governance. The board currently includes only one female director out of seven members, which represents 14 percent of the total. The company recognizes this gender imbalance and is actLMO's Board of Directors consists of seven members whose expertise covers industry, academia, finance, accounting, and management. Among these directors, three are independent, representing 43 percent of the board. This proportion exceeds the regulatory requirement, which mandates a minimum of 20 percent independent directors. Although the chairman and the president are different individuals, several members of the executive management team, including the CSO, CTO, and CFO, also serve as directors. This concentration of managerial and oversight roles may increase the likelihood of agency problems because the same individuals influence both strategic decision making and governance. The board currently includes only one female director out of seven members, which represents 14 percent of the total. The company recognizes this gender imbalance and is actively working toward a more inclusive and balanced board composition.
G	Capital management	2	In the past 10 years, LMO's dividend payout ratio has been above 65%. Despite the payout ratio decreasing to 65-70% during 2018-19 due to a decrease in earnings from a high level of above 80% over 2015-17, the payout ratio returned to above 75% during 2020-23.
G	Related party & transaction	1	The company does not engage in any meaningful related-party transactions.
S	Supply chain management	2	LMO has established a "Supplier Management Procedure" to shortlist qualified business partners and evaluates suppliers annually based on its suppliers' environmental protection procedures as well as health management system. Also, LMO requires its suppliers to sign a "Letter of Commitment of Supplier for Corporate Social Responsibility" and establish an RBA (Responsible Business Alliance). If its suppliers have a significant impact on society due to their inappropriate conduct relating to labour, human rights and environmental pollution, LMO would investigate and consider the possibility of terminating the contract.
E	Water & wastewater management	3	As part of its ISO 14001 environmental management framework, LMO continuously implements multiple water conservation measures and promotes water recycling. Measures include enhancing cooling tower concentration ratios, recovering condensate from air handling unit cooling coils, and using a purified water RO R (Reverse Osmosis Reject) recovery system. The Company sources process and utility water from the site water treatment plant to meet operational needs (including ice machine cooling towers, evaporation losses, and water used and evaporated in manufacturing and washing processes). To increase production value per unit of water and improve water use efficiency, factories and buildings are equipped with water meters that are read daily to monitor and control consumption. In 2024, these efforts and technologies resulted in total water savings of approximately 16.79 thousand m^3, a water conservation rate of about 33%, representing a 23% increase in total water savings compared with the prior year.
E	Waste & hazardous materials management	1	LMO's main wastes include sludge generated from manufacturing wastewater treatment process, chemical waste liquids used in the manufacturing process, chemical-contaminated clean cloths and filtering materials, and waste wafers, as well as employees' daily garbage, nonprocess-generated packaging materials, waste plastics, and other wastes, which are all disposed of by qualified removal and treatment providers. The Company set a short term target of annual hazardous waste generated per unit of product below 0.07 kg/cm2 and achieved 0.043 kg/cm2 in 2024 (a 20.4% reduction year on year). Its medium term target is to reduce hazardous waste per unit of product by 10% in 2025 compared with 2020, with a longer term ambition to lower waste per unit of product by 20% by 2030.
E	GHG emissions	3	Starting from 2022, LMO has conducted a greenhouse gas inventory in accordance with ISO 14064-1 in order to accurately grasp the sources of greenhouse gas emissions and emissions from each factory, and to implement various energy-saving and emission reduction measures based on the inventory results. Through continuous improvement programs, LMO minimizes the environmental and climate impacts of global warming from GHG emissions, and fulfills its corporate social responsibility.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 29 Jan 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Source: Daiwa

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